BUSINESS / BC GRADE 8 / 9

Revenue, costs & profit

Use a simple budget to make sense of a small project.

Grade 8-9 · introductory business skills

01 Revenue is not profit

Revenue is money earned from sales before subtracting expenses. If every item sells at the same price, revenue = price per item × number sold. A high revenue does not automatically mean the activity made a profit.

02 Count all the costs

A cost is money spent on the project. Some costs, such as a table rental, are fixed for the activity. Others, such as materials per item, increase as more items are made. This is an introductory planning model; real costs may be more complicated.

03 Compare the totals

Profit = revenue - total costs. A negative result is a loss. A budget is an estimate before the activity; compare it with actual results afterward. Keep units consistent and record the assumptions behind your estimate.

Worked example

Plan a bookmark sale

A group sells 20 bookmarks at $3 each. Revenue = 20 × $3 = $60. Materials cost $15 and table rental costs $10. Total costs = $25. Profit = $60 - $25 = $35. This model assumes every bookmark is sold and there are no other expenses.

Watch out: Do not call the full $60 profit. The group must first account for the $25 spent on the activity.

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Try it. Then check it.

Work through these questions before looking at the answers.

1. You sell 12 cards at $4 each. What is the revenue?

2. The cards cost $18 to make, plus $6 for a display. What are total costs and profit if all 12 sell?

3. If only five cards sell after all 12 have been made, what is the profit or loss? Assume the costs above have already been paid.

Answer key

1. Revenue = 12 × $4 = $48.

2. Total costs = $18 + $6 = $24. Profit = $48 - $24 = $24.

3. Revenue = 5 × $4 = $20. Profit = $20 - $24 = -$4, so the group has a $4 loss. Unsold items do not count as sales revenue.

One-minute recap

Close the notes. Explain one key idea in your own words, then retry the question you found most difficult.

About this guide

Original Study Bridge topic review prepared with AI assistance. Suggested course fit, not complete or official course coverage. Compare with your teacher's materials. Examples and practice questions are newly written.

Official course context: Grade 8-9 · introductory business skills

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